

Cambridge International AS & A Level

ECONOMICS

Paper 2 AS Level Data Response and Essays

2 hours

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:
 - Section A: answer Question 1.
 - Section B: answer **one** question.
 - Section C: answer **one** question.
- Follow the instructions on the front cover of the answer booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant.

INFORMATION

- The total mark for this paper is **60**.
- The number of marks for each question or part question is shown in brackets [].

Section A

Answer all parts of Question 1.

1 Can lithium-exporting economies handle the boom and bust of the green transition?

Lithium is a critical input for the batteries that power electric vehicles (EVs), smartphones and large-scale energy storage. Global demand for lithium has surged as countries pursue net-zero policies. Australia, Chile and China together account for over 80% of global lithium production. Chile alone holds approximately 36% of the world's identified lithium reserves. Between 2019 and 2023, average lithium prices rose by more than 400% as EV producers competed aggressively for limited supply. However, by 2025 prices had fallen sharply as new mining capacity in Argentina, Africa and China came on stream and as EV sales growth slowed in major markets. The price elasticity of demand (PED) for lithium has been estimated at -0.2 in the short run, while the price elasticity of supply (PES) is estimated at $+0.3$. The government of Chile has responded by announcing a partial nationalisation of the lithium industry, with the state taking a controlling stake in new projects. The objective is to capture a larger share of the rent, fund social spending and ensure that revenues stabilise government finances during price swings. Critics argue that the policy will deter foreign investment and slow innovation.

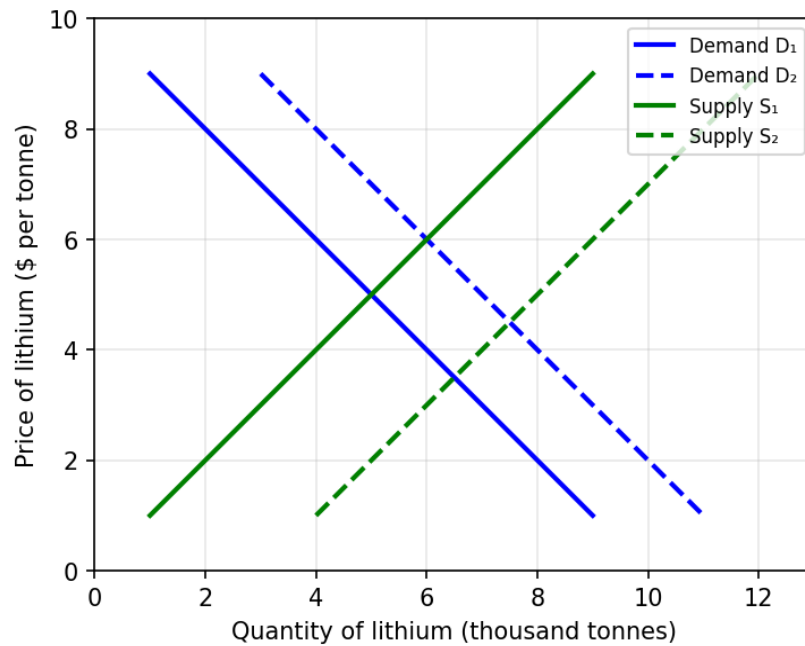
Source: Adapted from international press reports, 2024–25

Table 1.1: The global lithium market

Year	Global production (thousand tonnes LCE)	Global sales value (\$ billion)	Average price (\$ per tonne)
2019	86	4.0	13 000
2021	100	8.5	21 000
2023	165	35.0	67 000
2025	250	22.0	23 000

LCE = lithium carbonate equivalent

Fig. 1.1: The world market for lithium



- (a) (i)** Identify **one** possible reason for the value of the short-run price elasticity of demand (PED) for lithium. **[1]**
- (ii)** Calculate the percentage change in average lithium prices between 2019 and 2023, as shown in Table 1.1. **[1]**
- (b)** With the help of a demand and supply diagram, explain why lithium prices fell sharply in 2025. **[2]**
- (c)** Consider whether the imposition of an export tax on lithium by the Chilean government would be likely to increase its tax revenue. **[4]**
- (d)** Assess the extent to which partial nationalisation of the lithium industry would be the best way to stabilise government revenues in Chile. **[6]**
- (e)** Assess the advantages and disadvantages of Chile continuing to specialise in the production and export of lithium. **[6]**

Section B

Answer **one** question.

EITHER

2 (a) With the help of a diagram, explain the difference between price elasticity of demand (PED) and income elasticity of demand (YED) **and** consider whether goods with a positive YED are always normal goods. **[8]**

(b) Assess the view that information failure is the most significant cause of market failure in modern economies. **[12]**

OR

3 (a) With the help of a diagram, explain the difference between an outward shift of the production possibility curve (PPC) and an inward shift of the PPC **and** consider whether economic growth always requires more resources. **[8]**

(b) Assess the extent to which the price mechanism is the best way to allocate scarce resources in an economy. **[12]**

Section C

Answer **one** question.

EITHER

4 (a) Explain three components of the financial account of the balance of payments **and** consider whether a current account surplus is always desirable for an economy. **[8]**

(b) Assess whether contractionary fiscal policy is the best way to reduce demand-pull inflation in an economy. **[12]**

OR

5 (a) With the help of an AD/AS diagram, explain two causes of demand-pull inflation **and** consider whether all types of inflation are damaging to an economy. **[8]**

(b) Assess the view that economic growth is a more important macroeconomic objective than price stability for a developing economy. **[12]**